

Kingdom of Saudi Arabia

Real Estate Market Report Riyadh Region

Strategic analysis and market dynamics for 2026

Sectors: Offices · Residential · Retail · Hospitality · Regulation · Transactions · Ownership zones

Nine chapters covering the Riyadh real estate market

01 Executive summary and key performance indicators

02 Office and administrative space sector

03 Residential sector and housing market

04 Retail and shopping centres

05 Hospitality and hotels

06 Legislative and regulatory framework

07 Real estate transaction volumes

08 Non-Saudi ownership zones in Riyadh

09 External benchmarks and Takamol platforms

How this report was built and what sets it apart

Data sources

Real Estate Registry and Ministry of Justice (transactions), Real Estate General Authority (REGA), General Authority for Statistics, Saudi Central Bank, Zakat, Tax and Customs Authority, Royal Commission for Riyadh City, and Public Investment Fund announcements.

Analytical approach

2026 values estimated from the last six months of transaction data, benchmarked against each indicator's year-on-year change, then linked to sector drivers (regional headquarters, urban migration, giga-projects) to derive executive recommendations.

What makes the Takamol report different

Analysis at the corridor and district level, not just the city; figures linked to automated feasibility studies in RealInvest and curated opportunities in RealForsa; and mapped non-Saudi ownership zones as the first illustrated reference of its kind.

Scope: Riyadh city and its suburbs (Khuzam, Al Fursan, Qiddiya, Diriyah) ·
Reference period: H1 2026

Values in Saudi riyals unless stated otherwise · YoY rates compare with the same period of 2025 · Estimates are flagged with "about" or "circa"

01

Executive Summary and Key Performance Indicators

Demographics · Regional headquarters · Giga-projects · International events · Business confidence

Macro indicators: Riyadh is the Kingdom's centre of investment gravity

8.6M+

residents —
population base

540+

global firms with a regional
HQ in Riyadh

97.5%

Grade A office occupancy

2.1%

annual inflation in
the capital

Centre of investment gravity

Riyadh captures more than 65% of total foreign direct investment (FDI) inflows into the Kingdom.

Supply–demand gap

Structural demand is accelerating faster than project delivery in the office and logistics sectors, sustaining rental yields of 8.0%–9.5% in the commercial sector.

Demographics, purchasing power and income patterns

Young Saudi families	Dual income, modern lifestyle	Prefer modern ownership apartments and smart communities
Expatriate talent and experts	Regional HQ and consulting staff	Record demand for serviced apartments and gated communities
Individual investors	Financial surpluses seeking recurring income	Buy residential/commercial units for short- and long-term letting

63.8%

share of population under 35

SAR 18,800+

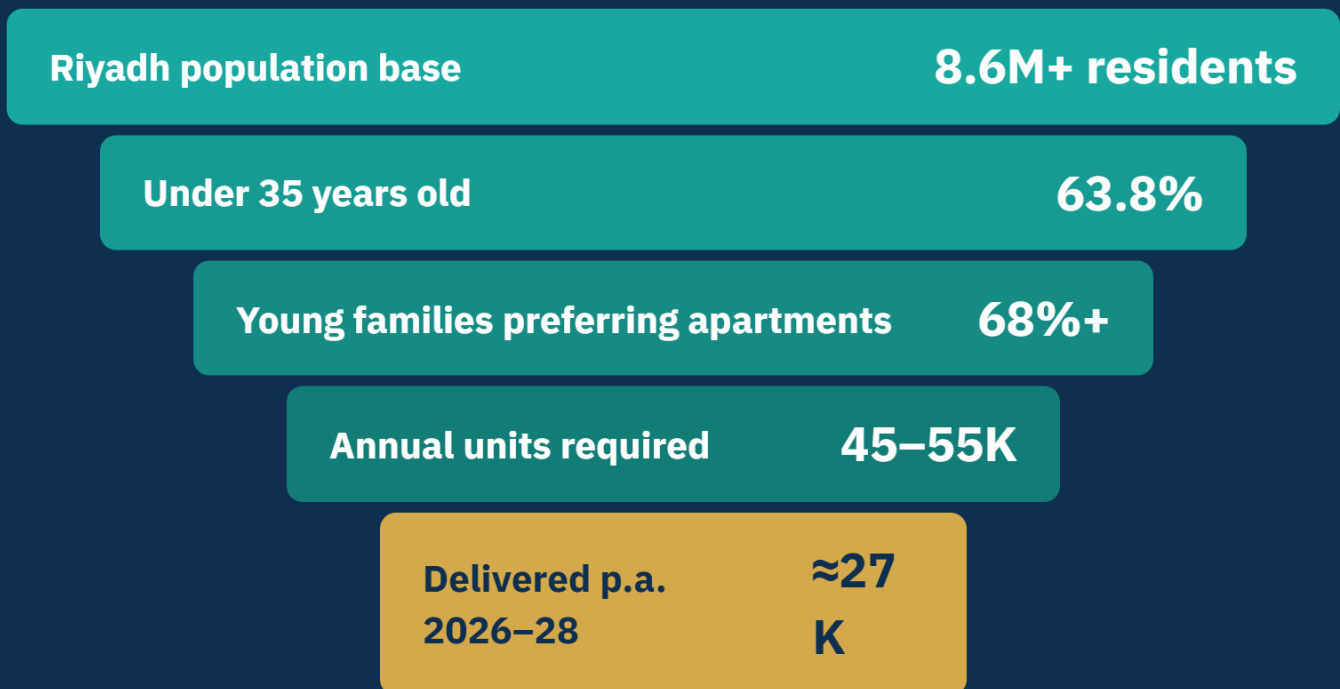
average monthly household income

+11.4%

compound annual income growth

Takeaway: a young population with rising income is pushing demand toward modern apartments and serviced communities rather than traditional villas, opening a window for small investment units (1–2 bedrooms).

Demand funnel: from population base to the housing unit required



Reading the funnel

A young, growing population converts into structural demand for modern apartments inside serviced communities.

Planned deliveries (80,500 units over three years) cover only about half the annual need, which explains the persistent price and rental pressure.

Estimated annual gap: 18–28K units.

Regional Headquarters (RHQ) programme and capital inflows



The numbers

RHQ licences issued have surpassed the Vision 2030 target (500 firms by 2030; more than 540 achieved).

Net foreign direct investment grew 18.2% year on year in Q1 2026, driven by business and financial services.

Incentives and impact

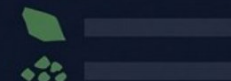
A 30-year tax exemption package (0% corporate income tax and 0% withholding tax) was a decisive draw — source: Zakat, Tax and Customs Authority.

Relocating senior staff created parallel demand for international schools, luxury housing and premium leisure.

RIYADH INVESTMENT LANDSCAPE: DEVELOPMENT PATHWAYS

Giga-projects map

Legend



المربع الجديد

النطاق والموقع: شمال الرياض
المساحة / الحجم: 19 كم² / 100+ ألف وحدة
الأثر العقاري الرئيسي: أكبر داون تاون حديث، استيعاب
مئات الآلاف من السكان ومساحات تجارية كبرى



بوابة الدرعية

النطاق والموقع: شمال غرب الرياض
المساحة / الحجم: 14 كم² تطوير
الأثر العقاري الرئيسي: وجهة القيادة الفاخرة
والتراث الثقافي ورفع قيمة العقارات المجاورة

حديقة الملك سلمان والمسار الرياضي

النطاق والموقع: وسط الرياض (المسار كاملاً)
المساحة / الحجم: 16+ كم² (أكبر حديقة مدن)
الأثر العقاري الرئيسي: رفع جودة الحياة، تحسين المناخ،
وتحفيز إعادة تطوير وسط العاصمة



مركز الملك عبد الله المالي (KAFD)

النطاق والموقع: شمال الرياض
المساحة / الحجم: 1.6 مليون م² مباني
الأثر العقاري الرئيسي: المركز المالي والمقر القيادي

Kingdom Centre

Morabba Park

BUREID LIVING ROAD

NEW TTOD ZONE

New Murabba (19 sq km / 100K+ units) · Diriyah Gate (14 sq km) · King Salman Park (16+ sq km) · King Abdullah Financial District (1.6M sqm of buildings) —

Riyadh Investment Landscape: Development Pathways

International events as investment catalysts

Expo 2030

Target of 40M+ visits to the Expo site in north Riyadh.

King Salman International Airport expansion to 120M passengers of capacity by 2030.

Need for 35,000–40,000 additional hotel rooms and serviced units.

FIFA World Cup 2034

Construction of King Salman International Stadium (92,000+ capacity), New Murabba Stadium and ROSHN Stadium.

Mixed-use developments around sports venues to secure sustainable commercial use.

2026–2027

15K+ hotel rooms delivered and airport runway expansion

2028–2029

Metro link to the Expo site; progress on the Mukaab and Diriyah

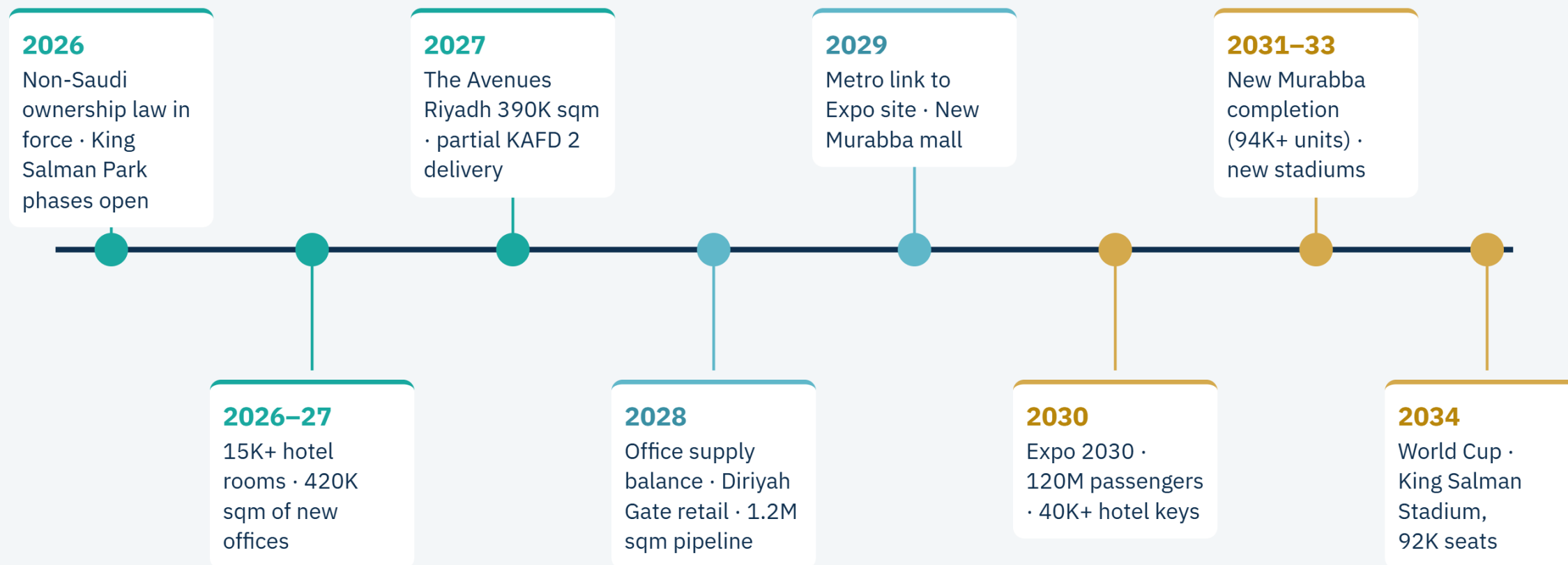
2030

120M passengers handled and 40K+ hotel keys in total

2031–2034

King Salman Stadium in operation and sustained commercial assets

Riyadh roadmap 2026–2034: the milestones that reprice the market



Business confidence, construction costs and building permits

108.4

points — Riyadh Business Confidence
Index (BCI)

+2.8–3.2%

annual change in construction costs —
relative stability

14,500+

commercial and residential building
permits — Riyadh leads the Kingdom

Stable prices for core materials

Stable local prices for rebar and ready-mix concrete improved the accuracy of financial estimates in feasibility studies.

Modern methods of construction (MMC)

Precast and modular units shortened delivery time by 30%–35% and reduced direct labour costs.

Occupancy gauges: the market runs near full capacity in every sector



98%

Grade A offices



97.9%

Major retail destinations



96.5%

Open-air centres



86–88%

Grade B offices



74.5%

Hotels (annual)

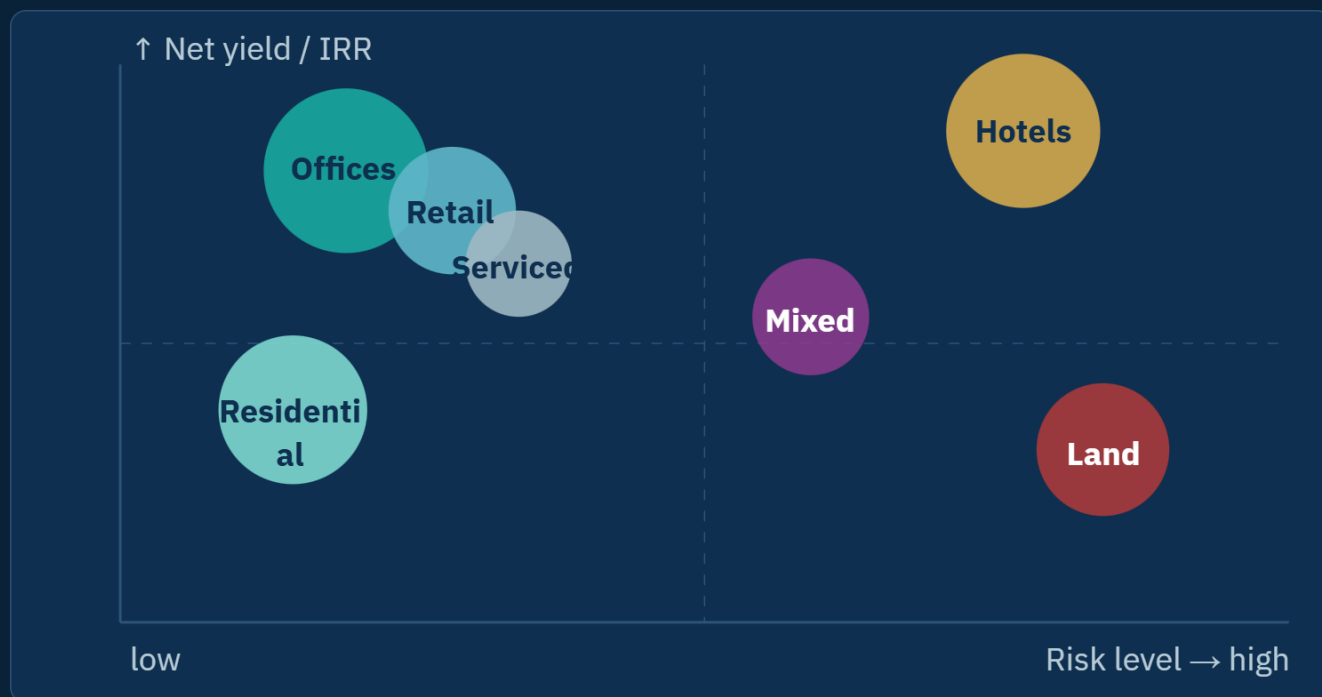
What do gauges above 95% mean?

A landlord's market: waiting lists, double-digit rental growth and weak tenant bargaining power until the new supply wave lands in 2028.

Where is the opportunity?

The gap between Grade A (98%) and Grade B (86–88%) rewards refurbishing older buildings to ESG standards; the gap between annual (74.5%) and seasonal (94–98%) hotel occupancy rewards flexible, convertible assets.

Return vs. risk matrix: where each sector stands in 2026



Bubble size reflects market depth (transactions and stock) · positioning is indicative, derived from this report's indicators

Grade A offices 8.5–9.5%

Retail 8.2–9.0%

Serviced apartments up to 8.5%

Residential apartments 6.4–7.2%

Hotels (IRR) 13.5–18.5%

Raw land Capital gain / long cycle

02

Office and Administrative Space in Riyadh

Operating indicators · Supply and demand · Rent map · Demand sectors · Opportunities and outlook

Office market operating dashboard

5.1M+

sqm — existing office
stock (GLA)

98%

Grade A occupancy — highest
in the Middle East

+15%

annual rental growth (Grade A
YoY: +12% to +15%)

9.0%

net rental yield (8.5%–9.5%)

Landlord-favourable market

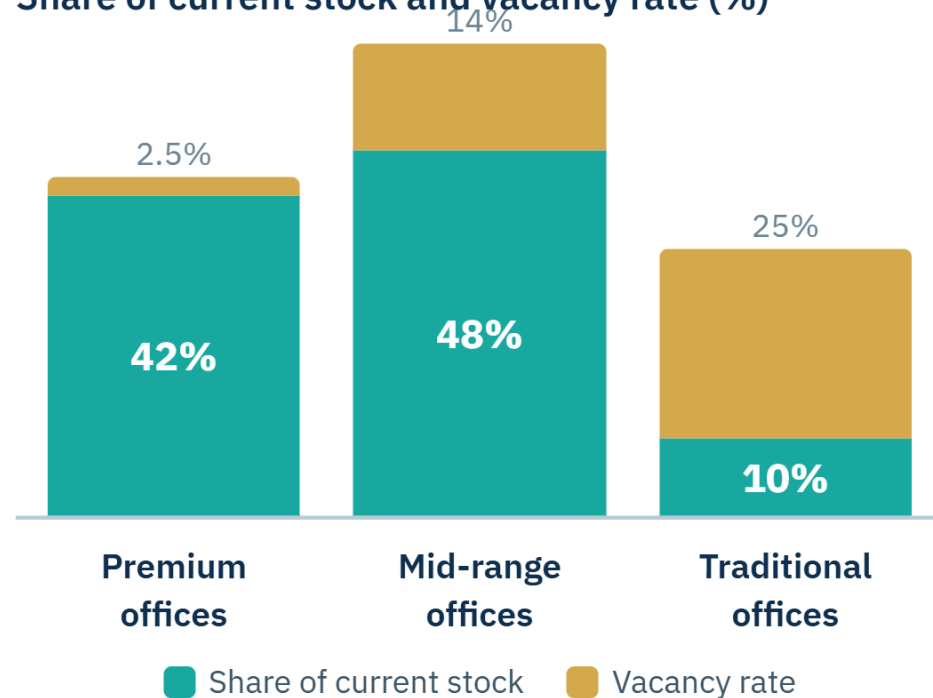
Concentrated demand for certified premium space has pushed some north Riyadh and KAFD towers to 100% occupancy with long waiting lists.

Grade B occupancy

Grade B offices run at 86%–88% occupancy; net yield on modern administrative buildings let to government entities or multinationals ranges from 8.5% to 9.5%.

Supply–demand dynamics and future space pipeline

Share of current stock and vacancy rate (%)



Space due by end-2026

About 420,000 sqm GLA.

Pipeline 2027–2028

More than 1.2M sqm across KAFD 2, New Murabba and Diriyah Gate.

Annual net absorption

The market absorbs 350,000–400,000 sqm a year, so rental pressure continues until at least 2028.

Rent map by district and corridor (SAR/sqm/year)

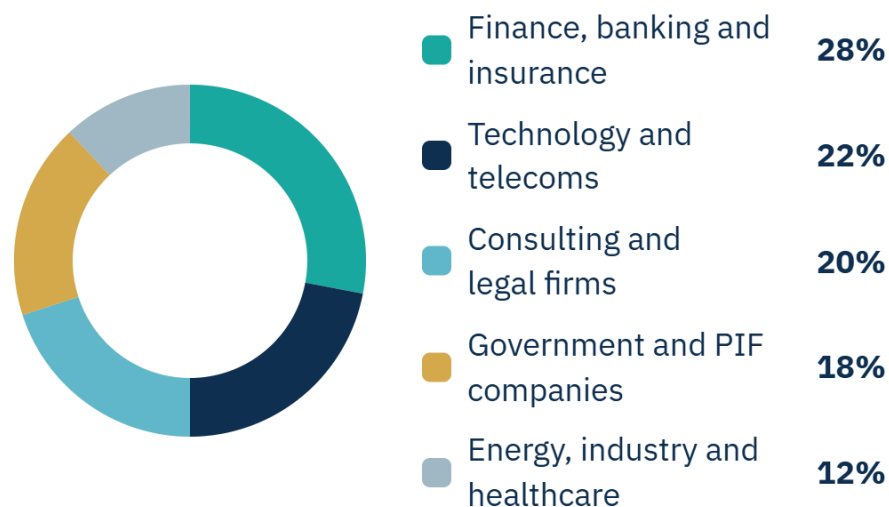
District / corridor	Grade A rent	Grade B rent	YoY change
King Abdullah Financial District (KAFD)	2,800 – 3,600	N/A (Prime only)	+18.5%
North Riyadh (King Salman / Thumamah)	2,200 – 2,800	1,500 – 1,900	+14.0%
King Fahd Road / commercial strip	2,000 – 2,450	1,200 – 1,700	+11.2%
Takhassusi Road / Olaya	1,800 – 2,250	1,000 – 1,500	+8.5%
East and west Riyadh (secondary corridors)	1,500 – 2,000	850 – 1,100	+5.0%

Annual rental growth by corridor

KAFD		18.5%
North		14.0%
King Fahd		11.2%
Olaya		8.5%
East/West		5.0%

The closer a corridor sits to KAFD and north Riyadh, the faster its rents grow; secondary corridors remain the slowest-growing and most stable.

Corporate demand sectors and the RHQ effect



Shifts in new tenants' terms and requirements

Sustainability and LEED certification

More than 75% of global firms require headquarters in LEED Gold or Platinum buildings.

Hybrid work and flexible space (Flex & Co-working)

Demand for flexible leases and co-working space is growing by more than 25% a year in Riyadh.

King Abdullah Financial District: the live-work-play model

SAR 3,000+

per sqm — average leasing rate

1.6M+

sqm of mixed-use space

110+

leading international and local entities

99%+

current office occupancy

Direct Riyadh Metro connection: KAFD's main station is an interchange hub for the principal metro lines.

Integrated live-work-play environment: offices blended with five-star hotels, fine dining, premium retail and luxury residential apartments.

Investment opportunities, challenges and outlook

Opportunity

Smart, sustainable office buildings (Boutique & Mid-Scale Grade A)

Along rapid-transit corridors and metro stations in north Riyadh, serving mid-sized and international companies.

Recommendation

Pre-leasing and ESG standards

Embed green-building standards before completion to ease institutional acquisition and exit through REITs.

Challenge

Rising raw land prices and long permitting cycles

A 2.5–3.5-year development cycle on main corridors from permits to construction.

Outlook

Rental growth of 7%–10% a year

With a slight supply rebalancing by 2028 as New Murabba and KAFD 2 come online.

03

Residential Sector and Housing Market

Operating indicators · Future supply and suburbs · Price map · Emerging products · Recommendations

Riyadh housing market operating dashboard

Total existing housing stock	1.45M+ housing units	+3.8%	Apartments make up about 54% of existing units, versus 46% for villas and townhouses
Average apartment sale price per sqm	SAR 5,400 – 6,300/sqm	+8.5%	Price gains concentrated in northern districts, exceeding SAR 7,500/sqm
Average villa sale price per sqm	SAR 4,800 – 5,700/sqm	+5.8%	Relative stability as developed plots for single villas shrink to 200–300 sqm
Average annual apartment rent	SAR 42,000 – 65,000/year	+11.2%	Sharp rental growth for modern and furnished apartments as RHQ staff arrive
Net rental yield	6.4% – 7.2% for apartments	+40 bps	Small investment apartments (1–2 bedrooms) outperform, with net yields up to 8.5% in serviced communities
Riyadh's share of residential mortgage finance	38% of the Kingdom	+7.4%	The capital leads in the value of new individual mortgage contracts

Riyadh is undergoing a fundamental shift in housing demand: more than 68% of young Saudi families prefer modern apartments within fully serviced communities over traditional detached villas.

Housing stock composition and the shift toward apartments



Existing stock (1.45M+ units)

■ Apartments

54%

■ Villas and townhouses

46%



Young Saudi families' preferences

68%+

prefer modern apartments inside fully serviced communities over traditional detached villas.

+8.5%

apartment price growth per sqm

+5.8%

villa price growth per sqm

+11.2%

apartment rent growth

20–25%

rent premium in gated communities

Future supply dynamics and major suburban projects

Area / developer	Delivery 2026–2028	Planning 2028–2030	Product mix
Khuzam suburb (north Riyadh)	24,000 units	26,000 units	Apartments, townhouses, detached villas
Al Fursan suburb (north-east)	18,500 units	31,500 units	Integrated communities, affordable villas
New Murabba	6,000 units (phase 1)	94,000+ units total	Luxury apartments, hotel units, townhouses
Private sector and individual developers	32,000 units	40,000 units	Apartment buildings, gated communities
Total supply capacity	80,500 units	191,500+ units	Multi-segment residential mix

Units due 2026–2028 (thousand)

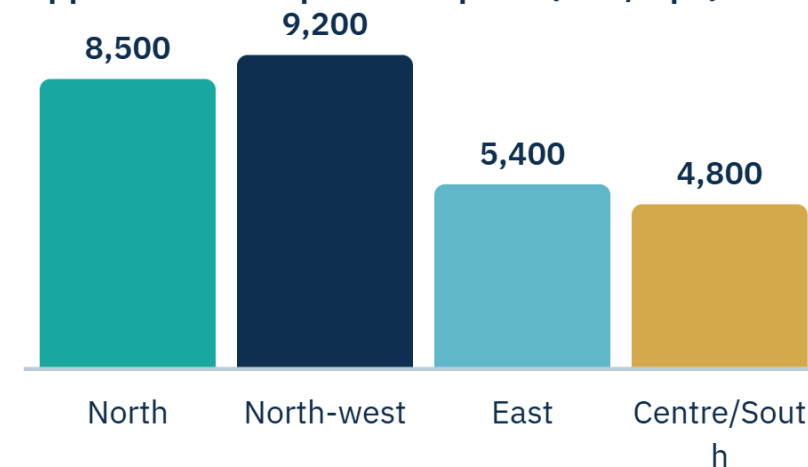


Riyadh needs 45,000–55,000 new housing units a year to keep pace with natural population growth and inflowing professional talent, sustaining rapid absorption of every project launched.

Price map and geographic comparison across the capital's zones

North (luxury growth corridor)	Al Malqa, Hittin, Al Narjis, Al Yasmin, Al Arid	6,800 – 8,500	6,200 – 9,000
North-west (heritage/luxury)	Diriyah, Al Khuzama, Al Nakheel, Al Mohammadiyah	7,200 – 9,200	7,500 – 11,500
East (affordable expansion and suburbs)	Al Rimal, Al Yarmuk, Al Munsiyah, Al Qadisiyah	4,200 – 5,400	3,800 – 4,900
Centre and south (traditional corridors)	Olaya, Sulaimaniyah, Al Shifa, Al Suwaidi	3,800 – 4,800	3,200 – 4,200

Upper bound of apartment price (SAR/sqm)



Prices in the north-west corridor are roughly double those of the traditional corridors.

Spatial trend: the north and north-west corridors keep capturing the largest share of luxury development and smart-apartment deals thanks to proximity to KAFD and the giga-projects, while the east drives home ownership among middle-income families.

Emerging residential products and modern development technologies

Rising residential formats in Riyadh

Gated urban communities for professionals

Apartment communities with hotel-style services, health clubs, nurseries and co-working lounges, commanding a 20%–25% rent premium.

Branded residences

Partnerships between developers and luxury hotel chains in Diriyah and KAFD, offering integrated hotel services to owners and attracting international investors.

Smart micro-living (Studio & 1-Bedroom)

Products designed for single expatriate professionals under the RHQ programme, with rents starting from SAR 3,500 a month including services.

Modern methods of construction (MMC)

8–10 months

instead of 18: precast concrete and modular pods shorten residential construction time.

22%–28%

developer gross margin after cutting material waste by 15% and on-site construction labour costs by 25%.

Residential investment outlook: challenges and strategic recommendations

Ownership apartment development	Rising demand for 130–180 sqm apartments priced between SAR 750K and 1.1M.	Design three-bedroom units with flexible layouts, prioritising insulation, acoustics and dedicated basement parking.
Residential rental investment	Record demand for long- and short-term rentals near the metro and business districts.	Build fully build-to-rent (BTR) communities managed through the Ejari platform to secure regular institutional cash flow.
Raw land price challenges	Land accounts for 45%–55% of a project's total investment cost.	Activate joint-venture land development with raw-land owners instead of outright cash purchase, reducing liquidity risk.
Off-plan sales (Wafi)	Growing buyer confidence in the Wafi platform and escrow-account guarantees.	Use off-plan sales licensing to fund the construction cycle from buyer instalments and reduce reliance on high-interest bank loans.

Riyadh's residential market is shifting from a sector led by individual villa supply to an institutional market led by residential communities and smart serviced apartments, with growing investment focus on high density and an integrated lifestyle near major transport corridors.

04

Retail and Shopping Centres

Operating indicators · Delivery map · Demand pillars · Enclosed vs. open-air · Corridors · Recommendations

Retail market headline and operating dashboard

4.7M+

sqm — existing leasable
area (GLA)

2.1%

only — vacancy in super-
regional malls

+5.2%

annual rent growth in open-air
centres (record demand for
strip malls)

8.2–9.0%

net rental yield

97.9%

Occupancy of major destinations (Riyadh Park,
Al Nakheel Mall, Panorama Mall) with virtually
no vacant space.

48%

Share of dining and entertainment in daily
footfall — evidence of the sector's shift into a
destination industry.

Delivery map of major retail projects and destination centres

2026–2027 | Neighbourhood centres and open-air concepts

Area: 180,000+ sqm GLA · Districts: Al Narjis, Al Yasmin, Al Malqa.

2028 | Diriyah Gate luxury retail

Area: 120,000+ sqm GLA · Location: Wadi Hanifah and the Bujairi Terrace area.



2027 | The Avenues Riyadh

Area: 390,000+ sqm GLA · Location: King Salman Road at King Fahd Road.

2029–2030 | New Murabba mall

Area: 210,000+ sqm GLA · Location: New Murabba downtown and the Mukaab.

The four pillars of demand and spending in Riyadh's retail centres



Share of leasable area
(range midpoint)

Food & beverage (F&B) — 30%–35%

Highest monthly visit frequency (6 to 8 visits) and the leader in point-of-sale (POS) transactions.

Flagship and fashion stores — 25%–30%

Shift toward experiential stores that blend physical try-on with digital ordering, shrinking back-of-house storage.

Entertainment and interactive sports — 18%–22%

Cinemas, padel courts, gaming and AR centres keep families inside the centre for more than three hours.

Neighbourhood daily services — 15%–20%

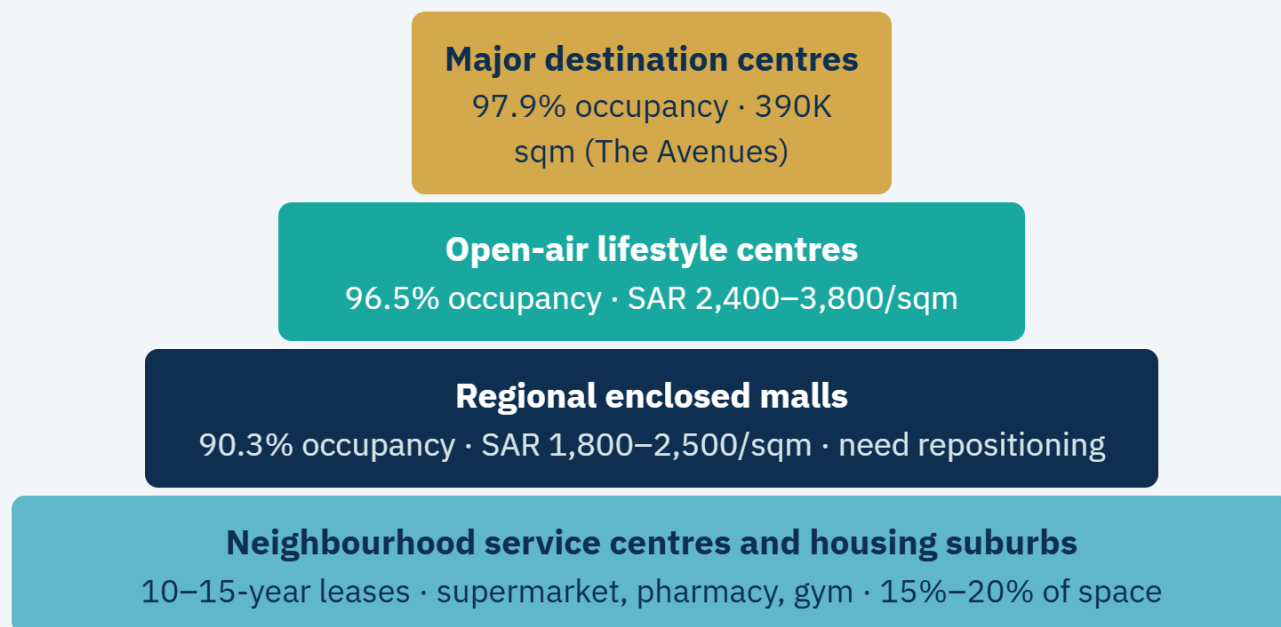
Supermarkets, pharmacies, clinics and gyms secure steady cash flow and long-term leases.

Benchmark: traditional enclosed malls vs. open-air centres

Criterion	Open-air (strip & lifestyle malls)	Regional enclosed malls
Leading examples	U-Walk, The Zone, Via Riyadh, Al Dhabab complex	Mid-sized regional malls in east and south Riyadh
Occupancy rate	96.5% with waiting lists for prominent brands	90.3% (vacancy approaching 10%)
Average rent	SAR 2,400 – 3,800/sqm for prime frontages	SAR 1,800 – 2,500/sqm with pricing pressure
Operating advantage	Service and maintenance charges 25% lower, as open walkways need no full central air-conditioning	High energy and operating bills and falling footfall, lost to e-commerce and open-air centres



Retail development priority pyramid: from destination to neighbourhood services



Top: scarcity and price premium

A few very large projects with waiting lists for global brands.

Middle: the optimal entry point

8,000–15,000 sqm plazas in northern districts with 25% lower operating costs.

Base: stable income

The widest and least volatile demand base; suited to REITs and regular income.

Geographic distribution and rents by retail corridor

Northern corridor

98.0% occupancy

King Salman / Anas bin Malik / Thumamah

Highest purchasing power, upscale lifestyle centres and a concentration of global brands and fine dining.

Rent: SAR 2,800 – 4,200/sqm

Central and western corridor

95.5% occupancy

King Fahd / Tahlia / Diriyah

Flagship showrooms, luxury stores, hospitality and open-air heritage retail.

Rent: SAR 2,500 – 3,900/sqm

Eastern corridor

93.0% occupancy

Dammam Road / Khurais / Al Munsiyah

High family density, large family shopping centres, neighbourhood service centres and NHC suburbs.

Rent: SAR 1,600 – 2,300/sqm

Southern corridor

88.5% occupancy

Southern Ring Road / Al Shifa / Al Aziziyah

Outlet centres, large retail markets and affordable traditional shopping centres.

Rent: SAR 1,200 – 1,750/sqm

Strategic pyramid and executive recommendations for retail

- 1 Open-air lifestyle and strip malls**
 Develop 8,000–15,000 sqm plazas centred on cafés and specialty dining inside dense northern districts.
- 2 Community service centres for neighbourhoods and housing suburbs**
 Secure anchor tenants (supermarket, pharmacy, health club) on long leases of 10–15 years.
- 3 Convert struggling traditional malls**
 Replace large fashion-store floor plates with family entertainment and fitness centres to halt declining footfall.

Execution matrix

Smart parking equation

Flexible lease contracts

E-commerce integration

Destination retail

05

Hospitality and Hotels

Operating and financial indicators · Demand drivers · Development economics · Geography · Risks and recommendations

Riyadh hotel market: operating and financial dashboard

Total existing hotel supply	24,800 hotel keys	+6.2%	Five- and four-star hotels make up more than 68% of all rooms
Average annual occupancy	74.5%	+4.8 pts	Rises to 94%–98% during major conference seasons and Riyadh Season
Average daily rate (ADR)	SAR 865/night	+14.2%	Growth driven by executive business delegations and scarce luxury rooms in the north
Revenue per available room (RevPAR)	SAR 644	+19.5%	Highest annual RevPAR growth among regional capitals in the Middle East
Total operating revenue	SAR 1,120/room	+16.0%	Includes F&B, conference halls and events revenue
Gross operating margin	42% – 44%	+3.5%	High margins from energy-cost control and smart facility operations

+19.5%
RevPAR growth

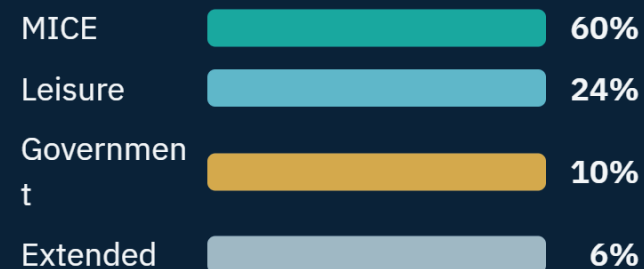
74.5%
annual occupancy

Riyadh's hospitality market shows low seasonality compared with pure leisure cities: business travel and regional HQs feed weekday occupancy, while events and shopping seasons lift weekend occupancy.

Hotel demand drivers, guest behaviour and spending (MICE & Leisure)

Demand segment	Key drivers and events	Daily spend	Avg. stay	Share
Business and MICE	FII, LEAP, investment delegations and regional HQ meetings	SAR 1,850 – 2,600	3.6 nights	60%
Leisure and events	Riyadh Season, global sporting bouts and major concerts	SAR 1,400 – 2,100	2.4 nights	24%
Government and diplomatic	Regional and international summits and official delegations	SAR 2,200 – 3,500	4.2 nights	10%
Extended stays	International consultants and newly relocated professionals on temporary contracts	SAR 850 – 1,300	28 nights	6%

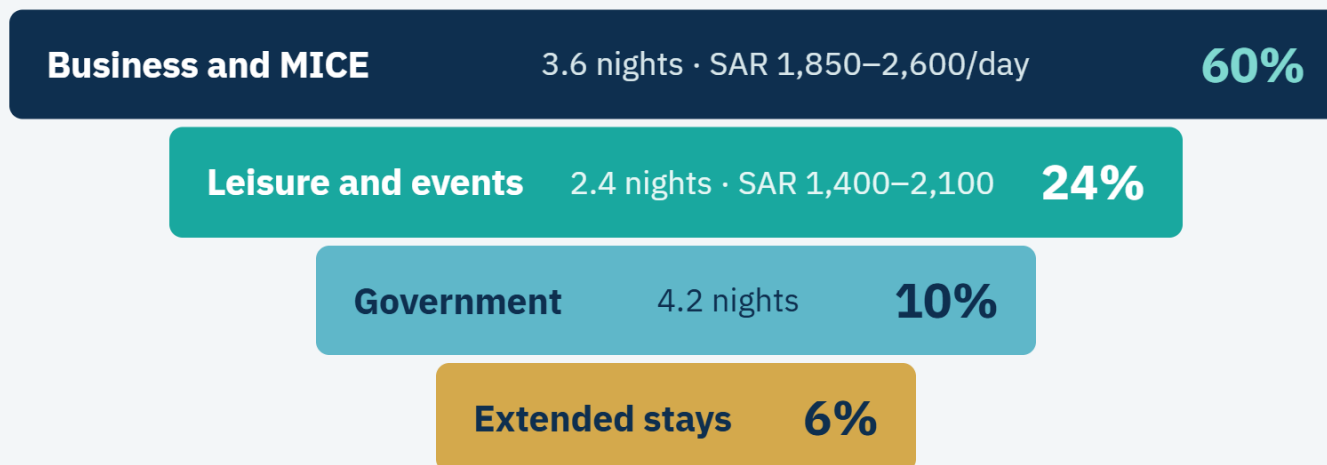
Market share by demand segment



Bleisure: 38% of business guests combine their trips with leisure and cultural activities at the weekend in the capital and Diriyah.

Specialty restaurants and cafés inside luxury hotels contribute 35%–42% of total property revenue.

Hotel demand funnel: market share vs. spend and length of stay



28 nights

Average stay of the extended-stay segment — the smallest share but the longest stay, and the basis of the serviced-apartment model.

38%

of business guests add leisure to their trips (bleisure) — an opportunity to lift average stay and spend.

Hotel development and investment economics

Build and fit-out cost per key (CapEx/Key)	SAR 1.1 – 1.6M	SAR 650 – 850K	SAR 500 – 700K
International operator fees (base + incentive)	2.5% of revenue + 8% of GOP	2.0% of revenue + 6% of GOP	2.0% of revenue + 5% of GOP
Average annual net cash flow per key	SAR 135,000 – 180,000	SAR 75,000 – 105,000	SAR 65,000 – 90,000
Expected internal rate of return (IRR)	13.5% – 16.0%	14.0% – 17.2%	15.5% – 18.5%
Payback period	7.5 – 9.0 years	6.5 – 7.8 years	5.5 – 6.8 years

Sector financing drivers

Tourism Development Fund (TDF)

Soft loans and co-financing covering up to 50% of the capital cost of quality hotel projects.

Closed-end real estate development funds

Growing reliance on CMA-structured funds to finance construction and share risk with institutional investors.

Detailed geography of hotel investment hotspots in Riyadh

Corridor	Surrounding major projects	Target ADR	Target product
Diriyah Gate and Wadi Hanifah	Historic Diriyah, Bujairi Terrace	SAR 2,800 – 5,500	Boutique and ultra-luxury hotels in Najdi style
King Abdullah Financial District (KAJD)	Bank headquarters, global firms (RHQ)	SAR 1,400 – 2,400	Advanced business hotels, executive serviced apartments
North-east corridor (airport and Expo)	King Salman Airport, Expo 2030 site	SAR 750 – 1,350	Large MICE hotels, business resorts
North Riyadh (Al Sahafa, Al Narjis, Al Malqa)	Business parks and leisure corridors	SAR 550 – 900	Modern 4-star hotels and long-stay serviced apartments
Central Riyadh (King Fahd Road and Olaya)	Commercial centres and government institutions	SAR 450 – 800	3- and 4-star hotels and traditional furnished apartments

Diriyah

KAJD

Airport and Expo

North Riyadh

Central Riyadh

Bars: upper bound of target ADR relative to Diriyah (SAR 5,500 = 100%).

Hedging strategy and final executive recommendations for investors

Hotel oversupply (post-2030 risk)	High	Adopt flexible dual-key / convertible assets so rooms can switch quickly to serviced apartments or flexible office space once event peaks subside.
Rising development cost (CapEx inflation)	Medium	Early turnkey (EPC) contracting and modular room pods to cut construction time by 30% and control the budget.
Competition for talent and Saudisation ratios	Medium	Establish in-house training academies and sign partnerships with the Ministry of Tourism to benefit from training and employment support programmes.
Seasonal cash-flow volatility	Low	Diversify contracts so 40% are long-term corporate stays with RHQ tenant companies, securing a stable base cash flow.

Seize the serviced-apartment (extended-stay) opportunity

Fastest payback (under 6 years) with the lowest operating costs compared with luxury hotels.

Invest in upper-midscale hotels

Fill the price gap between luxury and budget hotels to target mid-sized corporate delegations and family tourism.

Partner with franchise operators

Cut international management fees and empower local teams to run assets efficiently with higher margins.

06

Legislative and Regulatory Framework

Non-Saudi ownership · White land fees · Brokerage and Ejari · Real estate contributions · Title registration ·
Credit environment

Non-Saudi real estate ownership regulation and approved zones

Geographic ownership zones

Giga-project areas (KAFD, Diriyah Gate, New Murabba), special economic zones (the SILZ logistics zone at King Salman Airport) and approved office towers qualify for 100% ownership.

International funds and financial institutions

Acquisition of income-producing commercial, administrative and logistics assets.

Execution channels and the Saudi Properties platform

Mandatory real estate verification, no-objection certificates and linkage to the Real Estate Registry through the unified digital platform to ensure security and regulatory compliance.

Premium Residency holders

Unrestricted residential and commercial ownership across all Riyadh districts.

Multinationals (RHQ)

Ownership of head offices and staff housing compounds under the qualified-investor classification.

The new law (in force from January 2026)

Published July 2025, effective after 180 days; the Council of Ministers designates zones (Riyadh and Jeddah as examples); a transfer fee of up to 5% of property value on sales by non-Saudis; fines up to SAR 10M; mandatory registration with the Real Estate Registry. Source: White & Case.

Mechanisms and regulatory conditions for non-Saudi ownership



Target category

Global RHQ companies · International investment funds ·
Premium Residency holders



Permitted assets

Office towers, head offices, development land
· Commercial complexes and Grade A offices ·
Logistics warehouses



Conditions and restrictions

Use of the property for direct business activity ·
Investment through licensed real estate funds · Title
registration in the Real Estate Registry and settlement
of dues



Expected investment return

Rent savings and secured assets · Net yields up to 8% ·
Capital and rental returns up to 7.5%

White land fees and the release of urban supply

Phase one

Undeveloped raw land of 10,000 sqm or more within the announced boundary.



Phase two

Developed land owned by one owner of 10,000 sqm or more, or an owner's combined plots of that size within one approved scheme.



Phase three

Developed land owned by one owner of 5,000 sqm or more in a single city, to spur direct development inside completed districts.

2.5%

annual fee on the land's market value, obliging owners to pay or develop within the deadline — accelerating the release of thousands of hectares for joint development or sale to funds.

100%

of collected fees recycled into infrastructure for National Housing Company (NHC) projects and the Khuzam and Al Fursan suburbs.

65M+ sqm

of land in Riyadh subject to billing, invoiced across the programme's phases.

22M+ sqm

of land that entered development, easing supply bottlenecks in the north and east of the capital.

Real estate brokerage law and the unified Ejar network

The FAL licence and professional requirements

Mandatory completion of Saudi Real Estate Institute training tracks and a FAL licence to practise brokerage, property management, facility management and real estate auctions.

Ban on unlicensed advertising

Property platforms linked directly to the Real Estate General Authority through APIs.

Brokerage commission cap

A maximum of 2.5% of the deal value on sales, rental commission on the first year only, and criminalisation of double or undisclosed commissions.

Legal and financial impact of the Ejar network

82%

reduction in rent-payment and eviction disputes in Riyadh, lifting regular collection rates for real estate investment funds.

The unified electronic lease is treated as an enforceable instrument before enforcement courts without the need for substantive litigation.

The new real estate contributions law and capital protection mechanisms

Dual oversight and institutional regulation

Contributions fall under direct supervision of the Real Estate General Authority and the Capital Market Authority (CMA), with developers required to qualify and be licensed as accredited institutional entities.

Escrow account system

Developers must open a restricted project bank account; disbursements require certified technical reports from an independent engineering consultant and auditor confirming that progress matches the disbursement plan.

PropTech crowdfunding channels

Licensed real estate crowdfunding platforms let individuals and institutions subscribe from SAR 1,000, creating new liquidity channels for developers worth billions of riyals a year.

Governance and oversight flow

Feasibility study → REGA and CMA approval → escrow account opened → public/private subscription → independent consultant oversight → progress-based disbursements → contribution liquidation and profit distribution.

Title registration (RER), the credit environment and REITs

The technical concept of title registration

A unique property number for every plot or unit, tied to 3D geodetic coordinates at centimetre accuracy, preventing overlapping titles and spatial duplication of deeds.

Absolute, incontestable validity

The registry deed carries absolute legal proof that cannot be challenged by vexatious claims, boosting the confidence of funds and international investors.

Link to mortgages and bank finance

Banks can register and release mortgages electronically and instantly, lowering credit-risk costs and speeding lending to major projects.

SAMA risk-management policies

Loan-to-value (LTV) of 90% for citizens' first homes, developer financing limits set by solvency and approved project cash flows, and real estate non-performing loans (NPL) held at historic lows below 1.4%.

Listed real estate investment trusts (REITs)

REIT assets in Riyadh exceed SAR 35bn, holding major office towers, shopping centres and modern warehouses, and offering developers a liquidity exit through sale-and-leaseback.

Development finance through the Etmam programme

Faster approval of residential and commercial master plans and streamlined permits to inject financing into projects in record time.

07

Real Estate Transaction Volumes

Real Estate Registry and Ministry of Justice · Last six months · Residential · Mixed-use · Commercial · Land · Industrial and agricultural

Residential: more than 21,000 transactions in the last six months

21,000+

transactions — all sources
(approx.)

19,711

transactions — Real Estate
Registry only

28.3

SAR billion — total
transaction value

1.44M

SAR — average
transaction value

4,485

SAR/sqm — average price
(402 sqm average area)

Reading

Over the last six months Riyadh saw active, diverse real estate trading that reflects its position as the Kingdom's pivotal property market. Transaction data from the Ministry of Justice and the Real Estate Registry show the residential sector taking the largest share of deal count, while land and mixed-use projects lift total traded value in several strategic locations across the city.

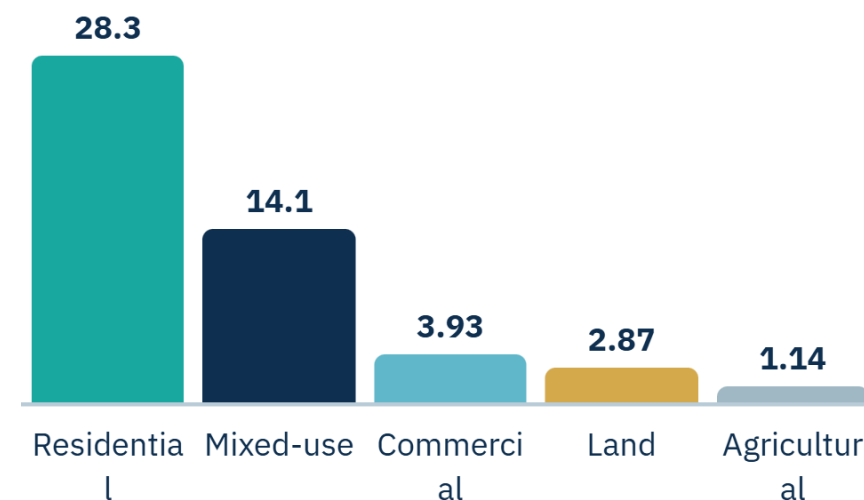
What it means

An active residential market with mid-to-high values and mid-sized areas that suit a broad range of families and investors.

Sector comparison: mixed-use, commercial and land from the Real Estate Registry

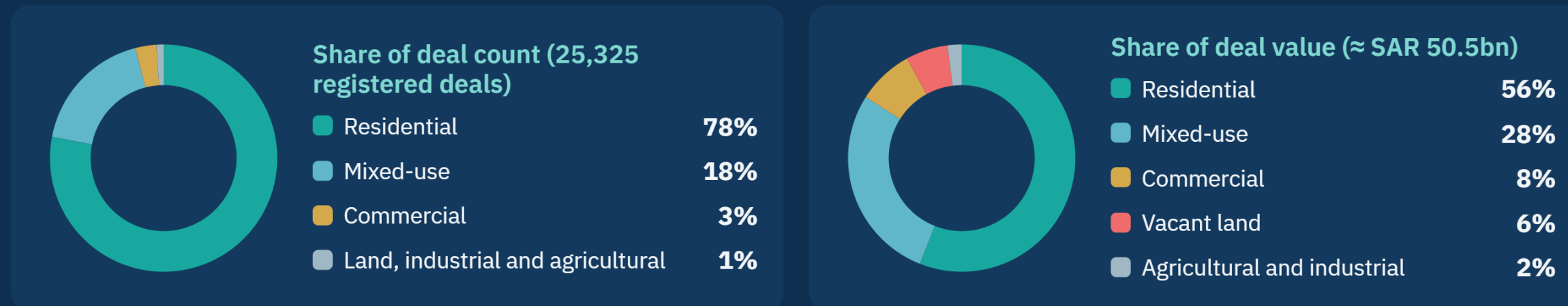
Residential	19,711	SAR 28.3bn	SAR 1.44M	402 sqm · 4,485/sqm
Mixed-use (res./comm.)	4,617	SAR 14.1bn	SAR 3.06M	1,133 sqm · 2,700/sqm
Commercial	699	SAR 3.93bn	SAR 5.63M	2,056 sqm · 2,738/sqm
Vacant land	165	SAR 2.87bn	SAR 17.37M	12,380 sqm · 1,403/sqm
Industrial	73	SAR 192M	SAR 2.63M	1,190 sqm
Agricultural	60	SAR 1.14bn	SAR 18.9M	21,534 sqm

Total transaction value (SAR billion)



Commercial deals are far fewer than residential, but each is worth much more; land deals are few in number yet large in area and value, pointing to development and investment transactions (master plans, large plots, future projects).

Count vs. value: residential leads the count, land and mixed-use lift the value



Shares computed from the Real Estate Registry data for the last six months presented in this report (rounded to the nearest 1%).

Average price per sqm and average deal value by sector

Average price per sqm (SAR)

Residential		4,485
Commercial		2,738
Mixed-use		2,700
Land		1,403

Residential has the highest price per sqm owing to small plot sizes; land is lowest because of large plots and its development character.

Average deal value (SAR million)

Agricultural		18.9
Land		17.37
Commercial		5.63
Mixed-use		3.06
Industrial		2.63
Residential		1.44

Industrial and agricultural: few deals, very large areas

Industrial deals (Real Estate Registry)

73

deals

192M

SAR in total

2.63M

SAR average deal

Average deal area: 1,190 sqm.

Agricultural deals

60

deals

1.14B

SAR in total

18.9M

SAR average deal

Large areas (average 21,534 sqm), including just two deals totalling SAR 31.4M on very large plots (average 35,502 sqm).

Conclusion

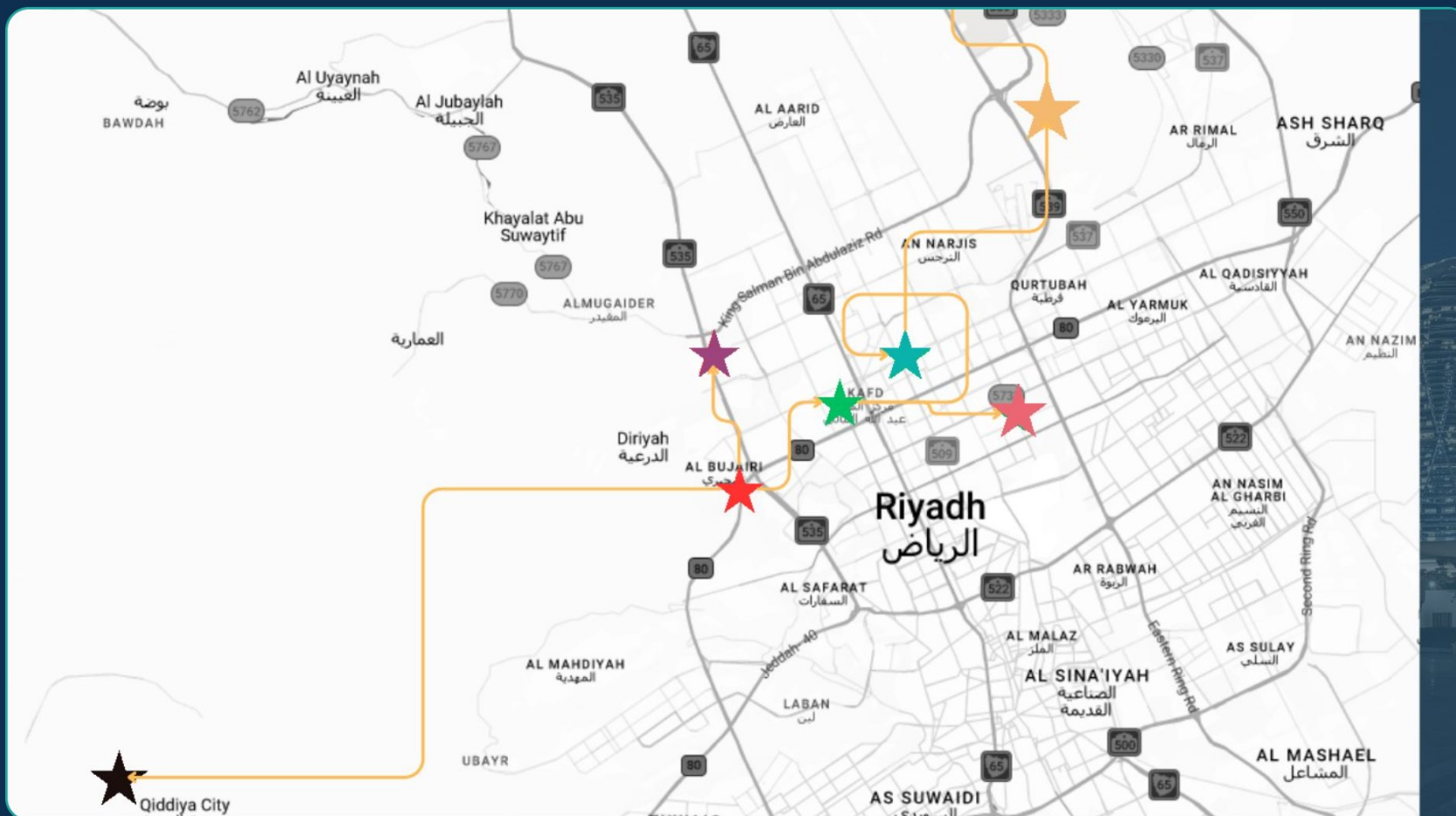
Riyadh's transaction indicators over the last six months reflect an active market balanced between growing housing need and commercial and development investment. The high count of residential deals shows continuing demand from individuals and families, while the high values of land and mixed-use deals point to developers and investors pursuing broader, longer-horizon projects. These trends are expected to continue amid urban expansion, infrastructure upgrades and further investment inflows.

08

Non-Saudi Ownership Zones in Riyadh

King Salman Airport · New Murabba · Qiddiya · Diriyah Gate · Sports Boulevard · KAFD · King Salman Park · Sedra

Eight approved zones around Riyadh's giga-projects

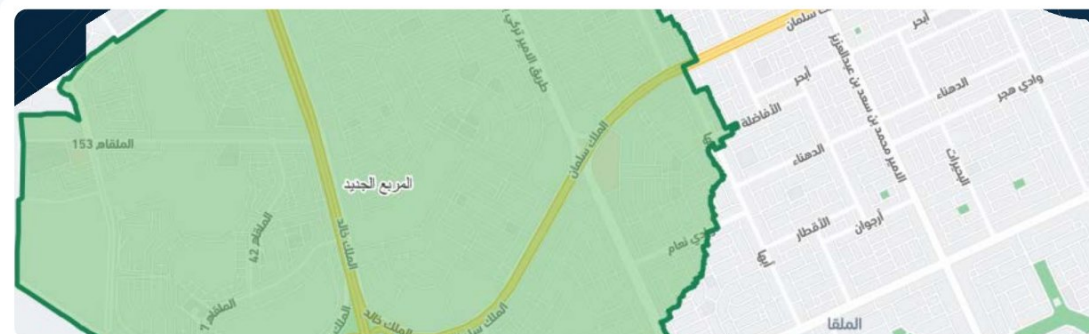


- Qiddiya
- Sports Boulevard
- ROSHN
- King Salman Airport
- King Salman Park
- Financial District (KAJD)
- New Murabba
- Diriyah Gate

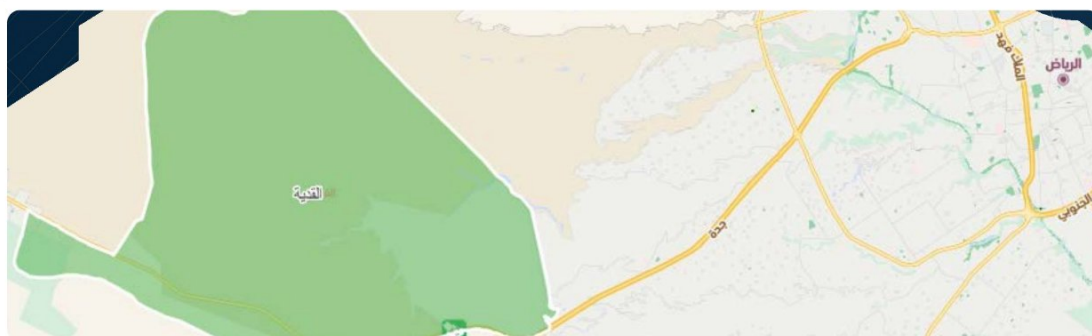
Zone boundaries (1/2): Airport • New Murabba • Qiddiya • Diriyah Gate



King Salman International Airport — north-east corridor and logistics (SILZ)



New Murabba — 19 sq km in north Riyadh at King Salman and King Khalid roads



Qiddiya — entertainment and sports destination west of Riyadh on the Jeddah road



Diriyah Gate — 14 sq km between the Northern Ring Road, King Khalid Road and Wadi Hanifah

Zone boundaries (2/2): Sports Boulevard · KAFD · King Salman Park · Sedra



Sports Boulevard and arts district – from Al Malqa and Al Sahafa to the Eastern Ring Road



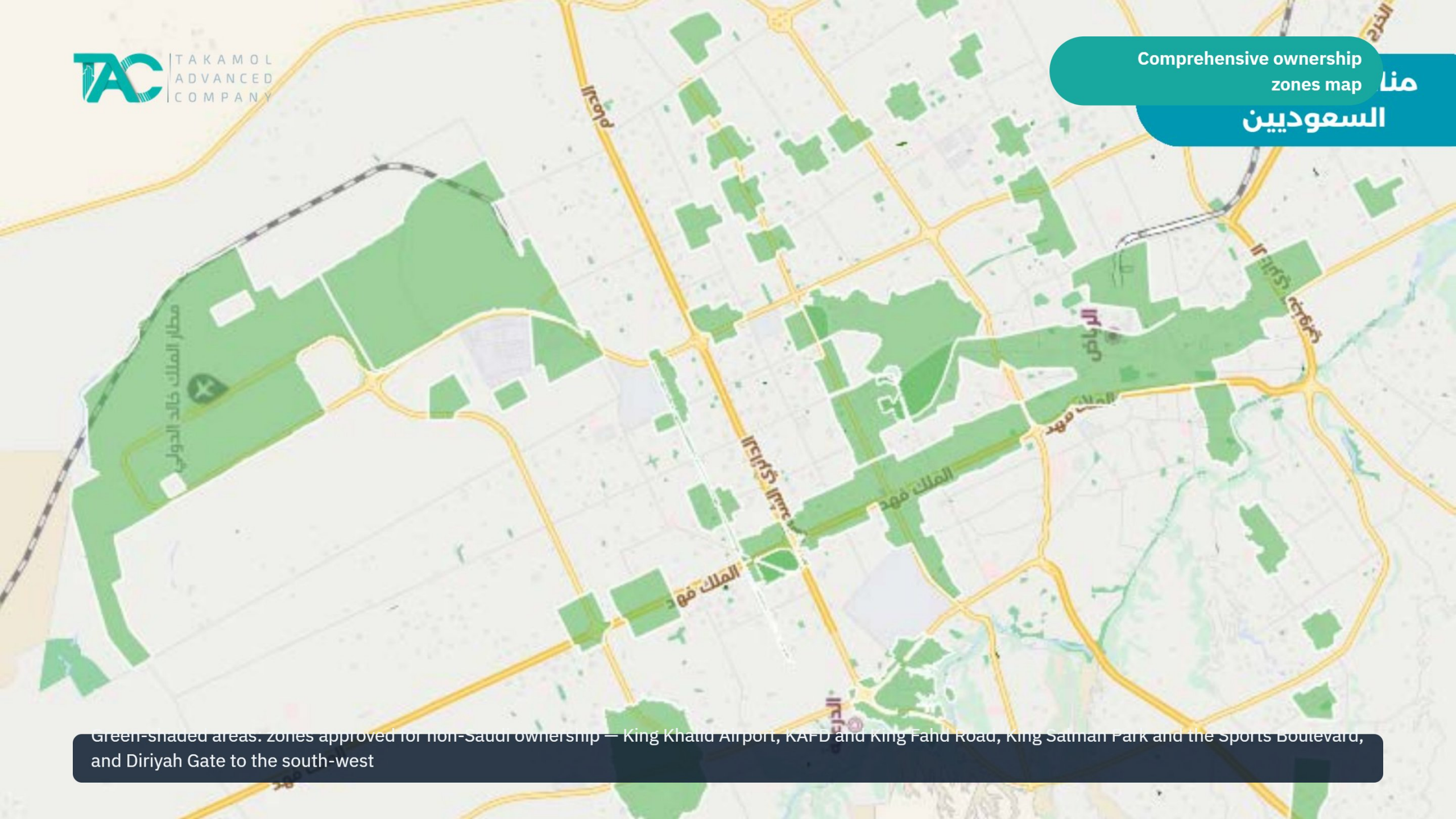
Financial District (KAFD) — 1.6M sqm of buildings on King Fahd Road and the Northern Ring Road



King Salman Park – 16+ sq km on the old airport site in central Riyadh



Sedra (ROSHN) – north Riyadh between King Salman Road and Al Munsiyah



Green-shaded areas. Zones approved for non-Saudi ownership — King Khalid Airport, KAFC and King Fahd Road, King Salman Park and the Sports Boulevard, and Diriyah Gate to the south-west

Takamol's reading against international and official reports (2025–2026)

9.6M

Riyadh population forecast by 2030, growing 4.1% a year (7.0M in the 2022 census)

Knight Frank · October 2024

3,320

SAR/sqm — prime Grade A office rent, up 3% YoY, with occupancy near capacity

CBRE · Q2 2026

0.5%

prime office vacancy (Grade A: 3.8%), with KAFD rent at SAR 4,000/sqm

JLL · Q2 2025

4.17M sqm

retail stock at 91% occupancy, with a 2.2M sqm pipeline to 2028

Knight Frank · H1 2025

200M

passenger journeys on Riyadh Metro by March 2026 (Blue Line 45% of them)

Royal Commission for Riyadh City · March 2026

16.9 sq km

King Salman Park at an estimated cost of SAR 72bn, with first phases opening late 2026

ArchDaily · 2026

100M

passengers a year targeted for King Salman Airport by 2030 across 57 sq km and six runways (third runway started January 2026)

Airport Industry News · 2026

5.87B

SAR of new residential mortgages in August 2026 (Kingdom-wide), villas 62% of it, average loan SAR 598K

SAMA via Argaam · August 2026

Note: figures on this page are quoted from their published sources and differ methodologically from Takamol's estimates (city scope, category definitions, reference period); read them as a comparison frame, not a substitute for the report's data.

Takamol Advanced platforms: turn market indicators into an opportunity, a study and a decision

RealForsa

Curated opportunities

Selected, vetted investment opportunities in Riyadh and the Kingdom, with certified valuation and a direct link to this report's indicators by district and corridor.

RealInvest

AI feasibility studies

Automated real estate feasibility studies for every scenario (residential, commercial, compounds, hotels, industrial), with architectural drawings and 3D massing add-ons.

GeoForsa

Geographic intelligence

GIS maps of ownership zones, giga-projects and transport corridors to read the location before the decision.

Takamol Advanced — a Saudi PropTech company combining real estate technology, AI automation and architectural tools

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Thank You

Saudi Real Estate Market Report — Riyadh Region 2026 · Strategic analysis and market dynamics

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